

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken— to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOR

Date: 6/5/2026

Bill Number: SB 167

Short Title (as it appears on BASIS): PFD ELIGIBILITY; PFD FOR OVERTURN CONVIC.

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

PFD believes there are several concerns with this legislation at this time.

First, the division is concerned about the precedent this legislation may set. Because PFD funds were already distributed through Restorative Justice while an individual was incarcerated, this would effectively create a **double payment**, as those same funds have already been allocated once. Legislative Legal did provide an opinion on this not being the case, but DOR would appreciate Law to review and interpret.

Second, Courts were unable to confirm that this legislation would affect only the “Fairbanks Four” and one additional individual, as referenced by the bill sponsor and staff. The “Fairbanks Four” are four Alaska Native men—George Frese, Kevin Pease, Marvin Roberts, and Eugene Vent—who were wrongfully convicted of the 1997 murder of 15-year-old John Hartman. They spent 18 years in prison before their convictions were vacated and they were freed in 2015. Because lower courts also have the authority to vacate or overturn convictions, the courts could not determine how many people could ultimately be impacted.

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

As a result, PFD would need to over-estimate annually in the PFD calculation to account for potential numbers of individuals with overturned convictions who may become eligible to receive multiple years of “missed” PFDs. This would require maintaining sufficient funds in PFD’s liabilities account to cover these cases, which in turn reduces the amount available for distribution to all Alaskans if the PFD amount was still calculated by the formula in statute. PFD previously suggested to the sponsor that a zero fiscal note could be submitted if the bill were amended to allow Restorative Justice funds to be returned from DOC to pay these applicants. The sponsor chose not to make that change and to retain an indeterminate fiscal note, which will result in reduced calculated PFD amounts for all Alaskans.

Third, this is a critical period for PFD, as the Division will be transitioning to a new system over the next few months. During this time, the PFD IT team will be learning the new platform while also being required to make immediate coding changes if this bill is enacted. The turnaround time for programming and testing, followed by implementation within 90 days, leaves very little margin for error. If system is ready for this change, Alaskans applying under this circumstance would still need to wait to receive PFD funds for approximately six months while the Division works with Courts and the Department of Corrections to receive appropriate paperwork and determine these individuals’ eligibility. PFD will also need to draft regulations that discuss many details, including if these applicants would be paid in a monthly payment run or only at mass payment.

Fourth, there may be implementation challenges. PFD will need to create a separate application process for these prior-year filings. This differs from the process used for 18–20-year-olds claiming missed PFDs, because those individuals had not applied for that year previously, whereas many formerly incarcerated applicants may have submitted applications while in prison. Additionally, most garnishment types expire at the end of each year; however, IRS and Child Support garnishments do not. If an applicant owes significant amounts to either of those agencies, their entire PFD could be subject to garnishment.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

PFD believes this bill does not agree with the Administration’s priorities as it allows double payments for a few Alaskans but not for all.

This bill establishes that an individual who was previously ineligible to receive a permanent fund dividend, due to being incarcerated, would become eligible for past dividends for the years they were incarcerated if their charges are vacated, reversed and later dismissed, or the individual is

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

retried and found not guilty.

It establishes that the dismissal may not be part of a plea agreement under Rule 11 of the Alaska Rules of Criminal Procedure and establishes the time frame for an individual who meets the requirements to be able to apply for their past PFD payments for two years after the dismissal of their charges or a not guilty finding, and specifies that back payment of a dividend is not prohibited because of a deposit of an equivalent amount of money into the restorative justice account.

This legislation has conforming language regarding the PFD calculation of the dividend amount. Amends AS 43.23.025(a), which deals with the calculation of the annual value of the PFD, under subsection (C), which deals with situations where prior year dividends need to be paid out, to include the subject of this bill to ensure that the compensation of the permanent fund dividends to individuals who had their convictions overturned will be factored into the calculation of the annual PFD.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Establishes that an individual who was previously ineligible to receive a permanent fund dividend, due to being incarcerated, would become eligible for past dividends for the years they were incarcerated if their charges are vacated, reversed and later dismissed, or the individual is retried and found not guilty.

It establishes that the dismissal may not be part of a plea agreement under Rule 11 of the Alaska Rules of Criminal Procedure and establishes the time frame for an individual who meets the requirements to be able to apply for their past PFD payments for two years after the dismissal of their charges or a not guilty finding, and specifies that back payment of a dividend is not prohibited because of a deposit of an equivalent amount of money into the restorative justice account.

Section 2: Conforming language regarding the PFD calculation of the dividend amount. Amends AS 43.23.025(a), which deals with the calculation of the annual value of the PFD, under subsection (C), which deals with situations where prior year dividends need to be paid out, to include the subject of this bill to ensure that the compensation of the permanent fund dividends to individuals who had their convictions overturned will be factored into the calculation of the annual PFD.

Section 3: Establishes the time frame for an individual who meets the requirements to be able to apply for their past PFD payments with the dismissal of their charges or a not guilty finding within the two years after the bill has been enacted.

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Companion: HB 189 by Rep Mears. Made it to House Judiciary.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support: Letters of support received from Jon Eldan, Founder and Executive Director, After Innocence, and Brian Ridley, Chief/Chairman, Tanana Chiefs Conference (TCC).

Potential Opposition: Charitable giving partners such as PCG and AK529 may oppose this legislation, as it introduces an additional option for directing PFD funds and could potentially divert contributions away from their programs.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

N/A

Commissioner’s Signature: Janelle J. Eares Date: 6/5/2026

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

CONFIDENTIAL & DELIBERATIVE